

Gross Value of Agricultural Production 2026

Valor Bruto da Produção Agropecuária (VBP) — Brazil

Market-sizing signal from the Brazilian Ministry of Agriculture and Livestock (Mapa) estimate and its relevance to the livestock RWA thesis

R\$ 1,404 tri TOTAL FARM-GATE VALUE 2026	R\$ 249,5 bi CATTLE CHAIN (BOVINOCULTURA)	36% LIVESTOCK SHARE (PECUÁRIA)
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Prepared	Source	Status	Scope
20 July 2026	Forbes Agro / Mapa (Min. of Agriculture)	Preliminary — data through May 2026	Beef-first, Brazil

Note for international readers: figures use Brazilian notation – comma as decimal separator (R\$ 1,404 tri = 1.404 trillion reais; R\$ 249,5 bi = 249.5 billion reais). “bi” = billion, “tri” = trillion. This is strategic research – not legal, tax, securities, veterinary, or investment advice. VBP figures are preliminary estimates from Mapa (Brazil’s Ministry of Agriculture and Livestock) and revise monthly.

01 What the VBP measures

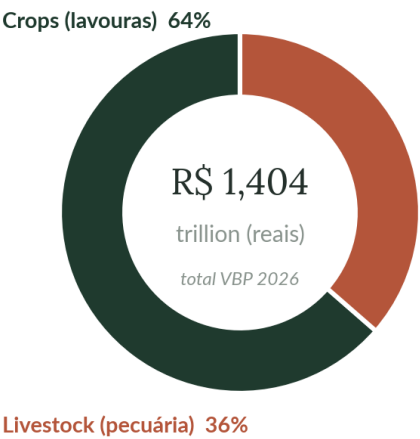
VBP — Valor Bruto da Produção Agropecuária, i.e. Gross Value of Agricultural Production. **Mapa** — Ministério da Agricultura e Pecuária, Brazil’s Ministry of Agriculture and Livestock, the agency that publishes the series.

The *Valor Bruto da Produção Agropecuária* — Gross Value of Agricultural Production, or VBP — is Mapa’s monthly indicator of farm-gate revenue: production value inside rural properties **before** processing, transport, and commercialization. It is estimated from production volumes × prices received by producers. The 2026 numbers are preliminary and reflect information available through May 2026.

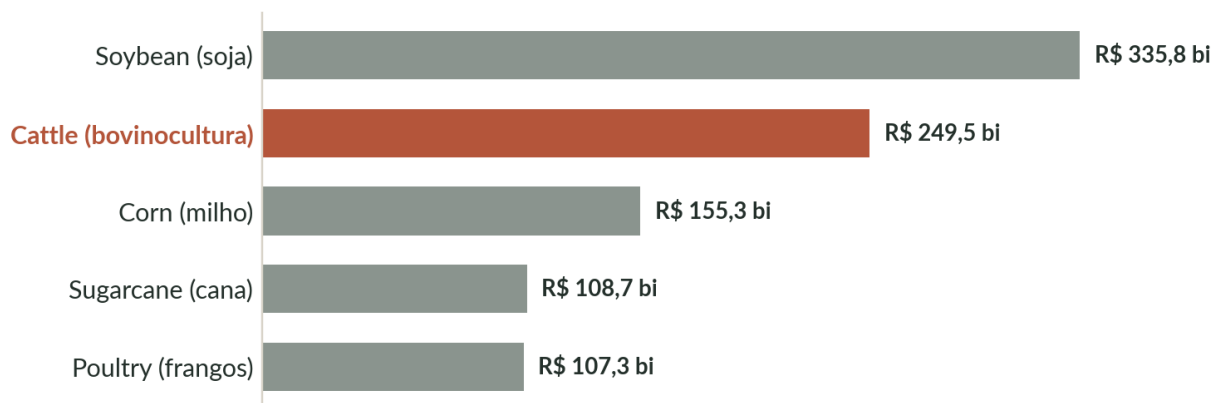
Farm-gate is the correct layer for Livestock Rent. It measures exactly the cash-generation point the platform underwrites — revenue realized at the farm, not downstream margin.

02 Headline 2026 figures

SEGMENT	2026 VBP	SHARE
Total agriculture & livestock <i>total agropecuária</i>	R\$ 1,404 tri	100%
Crops <i>lavouras</i>	R\$ 893,1 bi	64%
Livestock <i>pecuária</i>	R\$ 511,1 bi	36%



Top five value chains



Cattle is the second-largest chain nationally — behind only soybean, and the largest livestock chain by a wide margin. The five chains together account for 68.3% of national VBP.

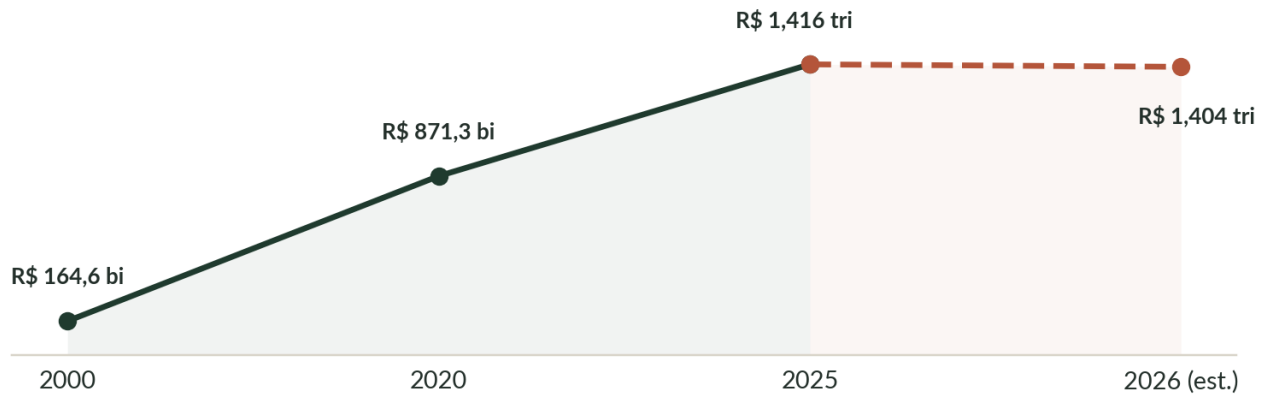
CHAIN	2026 VBP	SHARE OF NATIONAL TOTAL
Soybean <i>soja</i>	R\$ 335,8 bi	23,9%
Cattle <i>bovinocultura</i>	R\$ 249,5 bi	~17,8%
Corn <i>milho</i>	R\$ 155,3 bi	11,1%
Sugarcane <i>cana-de-açúcar</i>	R\$ 108,7 bi	7,7%
Poultry <i>frangos</i>	R\$ 107,3 bi	7,6%

Leading states

STATE	2026 VBP	SHARE
Mato Grosso <i>center-west</i>	R\$ 213,5 bi	15,2%
Minas Gerais <i>southeast</i>	R\$ 167,8 bi	12,0%
São Paulo <i>southeast</i>	R\$ 158,4 bi	11,3%

The southern states Livestock Rent targets first (Santa Catarina and Rio Grande do Sul, in the far south) are **not** in the national top three by VBP. MT/MG/SP concentration confirms the value core sits in the center-west and southeast — a scale-vs-selection tradeoff already flagged in the project's VC analysis.

03 Long-run trend



2000→2025 growth $\approx$ 760%, driven by output expansion, productivity gains, and chain appreciation. The 2026 estimate (dashed) breaks the record streak, sitting $\sim$ 0,8% below 2025.

04 Analytical read

1 The 2026 estimate is flat-to-down versus 2025

R\$ 1,404 tri (2026 est.) sits $\sim$ 0,8% below the R\$ 1,416 tri 2025 record. Preliminary and revisable, but the record streak paused. A related Forbes headline ("*Agro Terá Pressão sobre Margens e Crédito em 2026*" – "Agriculture will face pressure on margins and credit in 2026") signals margin and credit pressure despite high gross revenue. Consistent with the project's own warning: **high headline revenue $\neq$ healthy spread**. Farm-gate revenue can be large while finishing and dairy margins compress.

2 Cattle is a R\$ 249,5 bi chain – the addressable base is not the constraint

The Livestock Rent thesis never depended on market size; it depends on capturing an auditable, financeable slice of it. A quarter-trillion-BRL cattle chain confirms the origination universe is deep. The bottleneck is underwriting quality, legal perfection, and servicing cost per head – **not TAM**.

3 Livestock = 36%, crops = 64%

Livestock is the minority of Brazilian farm-gate value but is less integrated and more credit-hungry (per data from Epagri, Santa Catarina's state agricultural research agency, cited in the VC analysis: cattle demands more working-capital credit than poultry/swine). That credit gap is precisely Livestock Rent's entry point – the underfinanced, under-integrated corner of a R\$ 1,4 tri economy.

4 Geographic mismatch is real

The value core (MT/MG/SP) is not the project's chosen operating base (SC/RS). Two live options: **(a)** prove the model in SC/RS where individual traceability pilots and cost data from Epagri and Emater, the state agricultural extension agencies, are strong, then expand into MT/MG scale; or **(b)** reconsider first-cohort geography toward MT beef finishing to sit inside the value core. The VC analysis already leans to (a) for data quality; this VBP data strengthens the case for eventually reaching (b) for scale.

5 VBP as an ongoing origination signal

Because Mapa updates the VBP monthly by chain and state, it is a free, official, high-frequency demand/price proxy. Livestock Rent should track the *bovinocultura* (cattle) sub-series and state-level shifts as a top-of-funnel indicator for cohort timing and regional selection — complementary to the CEPEA (University of São Paulo agricultural price index) and Epagri series.

05 Implications for Livestock Rent

FINDING	IMPLICATION
Cattle (<i>bovinocultura</i>) = R\$ 249,5 bi, #2 chain nationally	TAM is not a risk; deep, financeable origination universe
2026 flat vs 2025 record + margin/credit pressure	Reinforces spread-underwriting discipline; do not sell on gross-revenue growth
Livestock (<i>pecuária</i>) 36%, credit-hungry, less integrated	Confirms the financing gap Livestock Rent targets
Value core = MT/MG/SP, not SC/RS	Prove in south for data quality; plan expansion into center-west for scale
Monthly Mapa VBP series by chain and state	Adopt as a standing origination and timing signal

NET ASSESSMENT

The VBP data validates the **size and durability** of the Brazilian cattle opportunity and independently corroborates the project's core caution — that 2026 is a high-revenue, margin-pressured year where the winning strategy is **spread and control**, not riding gross production value. It does not, by itself, de-risk anything in the project's Phase 0 legal/operational gates.

06 Sources

1. Forbes Agro — *Valor Bruto da Produção Agropecuária é estimado em R\$ 1,4 trilhão para 2026* ("Gross Value of Agricultural Production estimated at R\$ 1.4 trillion for 2026") — forbes.com.br/forbes-agro/2026/07/valor-bruto-da-producao-agropecuaria-e-estimado-em-r-14-trilhao-para-2026 (Mapa estimate, preliminary, data through May 2026; reviewed 20 July 2026).
2. Ministério da Agricultura e Pecuária (Mapa) — Brazil's Ministry of Agriculture and Livestock: VBP methodology and monthly series.
3. Cross-reference: *Livestock Rent RWA: investment and business analysis* (project memo, 16 July 2026).